

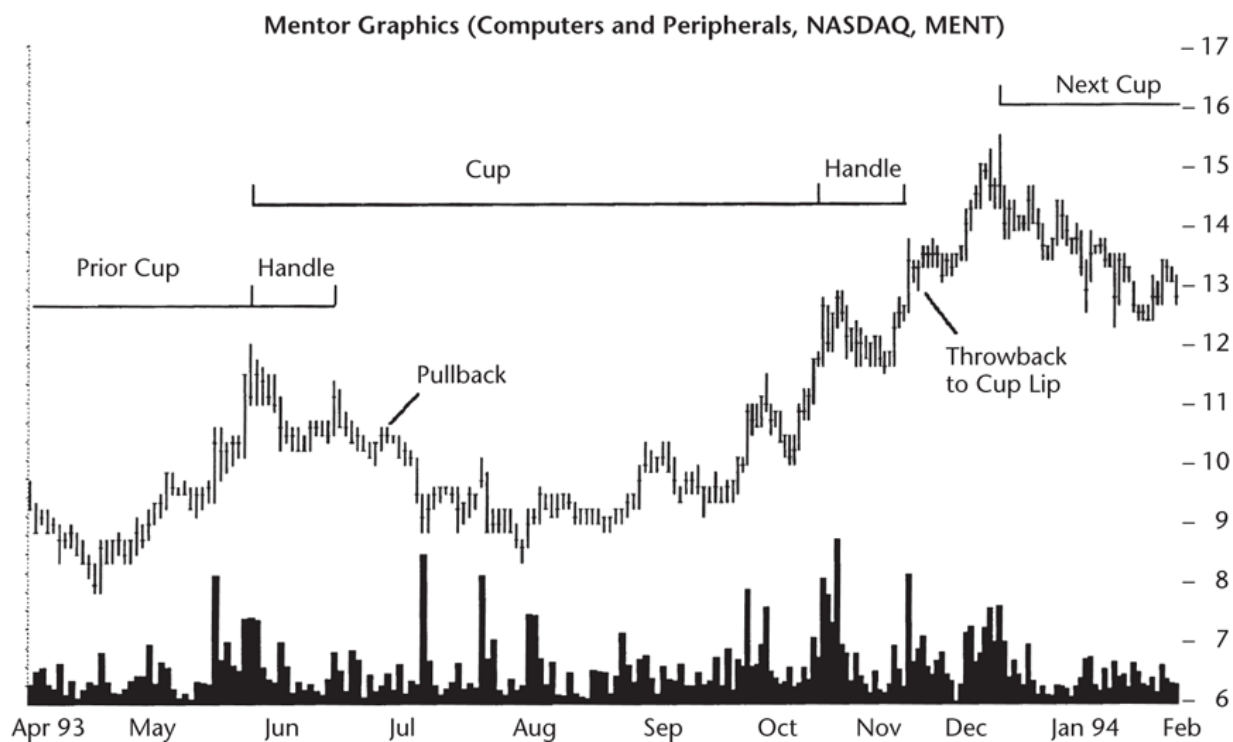


Figure 21.2 A cup-with-handle pattern flanked by other cup-with-handle patterns. This cup and handle is nicely shaped, with the right cup rim slightly higher than the left.

Figure 21.3 shows a cup-with-handle pattern on the weekly scale. When I was searching for cups, I found that weekly scales provide an easy way to identify many of the patterns. Of course, I also looked at daily price data to refine the weekly patterns and identify new patterns that I may have missed.

The chart shows an example of a cup-with-handle in which the rise falters after rising just 11%. Fortunately, after declining back to the handle base, the stock recovers and goes on to form new highs. Ultimately, the stock gains 52%.

The figure also highlights an inner cup. The left rim sees price trending downward into it instead of upward. The handle lasts just 2 weeks, too. However, inner cups offer wonderful trading opportunities because they allow traders to get in on the ground floor of an impending rise. Even if price only rises to the height of the outer left cup rim, the move can be significant.